ensures that your account will be protected for up to $250,000 per account in a participating financial institution. The government agency that insures banks is known as the Federal Deposit Insurance Corporation, or FDIC. Accounts in trust for a named beneficiary are treated as separate accounts from individual accounts without a named beneficiary. Additionally, joint accounts are treated as separate from any accounts held by each individual owner in his or her own name and have $500,000 of protection ($250,000 × 2). Retirement accounts such as IRAs are also treated separately for purposes of the $250,000 FDIC protection. For example, a married couple could have the following accounts FDIC protected *at the same bank:*

1. $250,000 in husband's name
2. $250,000 in wife's name
3. $500,000 in a joint account between husband and wife
4. $250,000 in husband's name in trust for wife, and
5. $250,000 in wife's name in trust for husband

That would protect a total of $1,500,000 in one financial institution! And you can still fund IRAs with FDIC protection as well. For credit unions, the National Credit Union Association (NCUA) provides the same type of coverage.

QUESTION

How do I make sure a bank is FDIC-insured?

Go to the FDIC website at *www.fdic.gov*, click on "Find Your Bank" and enter the official name and state of the bank. For credit unions, visit *www.ncua.gov*.
